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Exploring the challenges facing women entrepreneurs in informal cross-border trade in Botswana

1. Introduction

This study focuses on women entrepreneurs involved in informal cross-border trade (ICBT) in Botswana. It aims to address the following questions: (i) what are the entrepreneurial activities in which these women engage; what are the funding sources and profitability levels of their businesses? (ii) How have these businesses helped to enhance their economic empowerment? (iii) What are the factors that influence women's participation in these businesses, and what are the specific challenges they encounter? Understanding and addressing the challenges the women face in running their businesses could boost their business performance, improve their welfare and that of their families, and strengthen their bargaining power in society. As a consequence, their contribution to the economy could be greatly enhanced.

Botswana gained independence in 1966. The discovery of rich deposits of diamonds transformed its prospects radically. A market economy combined with state investment in infrastructure, health and education led - between 1966-2000 - to an average per capita GDP growth of nearly 7%, followed by fluctuating growth. Yet, income inequality between women and men is high and continues to rise (Statistics Botswana, 2011). The country maintained one of the world's highest economic growth rates of 8.7% between 1966 and 2008 as a result of prudent financial management of diamond revenues and sound

macroeconomic policies. Botswana transformed itself from a per capita GDP of US\$70 at independence to a per capita GDP of US\$8,533 in 2011 (Statistics Botswana, 2011). Despite this success story, Botswana women lack access to the credit facilities necessary to enhance their entrepreneurial activities.

Between 2009 and 2010 19.3% of Botswana's population lived below the national poverty line; in rural areas, this figure was 24.3%, with the majority being women. Female-headed households proved vulnerable both in rural and urban areas (Statistics Botswana, 2013). In 2008, women's overall share in paid employment was 41%; it was highest in health and social work (65%), followed by other community services and finance (both 62%). About 84% of all women in paid employment worked in services (van Klaveren et al., 2009). Botswana women entrepreneurs have been known to participate mainly in informal cross-border trade as a way of enhancing their economic base. According to CSO (2009), the majority of people employed in the informal sector in Botswana were females (56.2%).

Addressing the environmental constraints under which SMEs operate in Botswana is a key concern for policy makers who seek to improve the livelihoods of women who are the main actors in the SME sector (MFDP, 2003). Despite Botswana's economic success story, women in Botswana have survived mainly through participation in the informal sector. Yet little is known about their entrepreneurial skills and their contribution to society and their families. An understanding of how Botswana women entrepreneurs in ICBT are able to overcome the challenges of the inadequacy of funding for starting and expanding business, a lack of managerial and entrepreneurial skills, low cost and easily accessible training facilities, income disparity between men and

women, and family responsibilities - in an economy that appears to be so strong is the focus of this study (Temtime, 2004; OECD, 2004).

2.0 Literature Review

2.1 Why research on women entrepreneurs is important

Ahl (2006), in discussing the findings of 81 research articles (73 empirical and 8 conceptual) on women's entrepreneurship published between 1982 and 2000 in four leading entrepreneurship research journals (Ahl, 2004), concluded that research on women entrepreneurs suffers from a number of shortcomings, including: a one-sided empirical focus (Gatewood, Carter, Brush, Greene, & Hart, 2003), a lack of theoretical grounding (Brush, 1992), the neglect of structural, historical and cultural factors (Chell & Baines, 1998), and the use of male-gendered measuring instruments (Moore, 1990; Stevenson, 1990). Ahl suggested that entrepreneurship scholars needed to look beyond individual factors that affect women entrepreneurs, and attempt to consider factors outside the individual entrepreneur or her business such as legislation, social norms, family policy, economic policy, and the structure of the labour market.

The degree of Women's participation in entrepreneurship has been shown to vary markedly around the world (Kelly et al., 2013). For instance, in Pakistan, only 1% of women are entrepreneurs, while 40% of women in Zambia are engaged in entrepreneurship. The highest regional female Total Entrepreneurial Activity (TEA) levels are seen in Sub-Saharan Africa where 27% of the female population is engaged in entrepreneurship. South Africa has a female TEA rate below 6%,

while the Botswana TEA rate is about 25%. Latin American/Caribbean economies also show comparatively high TEA levels; Ecuador's TEA level is particularly high with over one-quarter of the female population engaged in entrepreneurship (Kelly et al., 2013). Bosma et al. (2009, as cited by Pines et al., 2010), reported their surprise that the percentage of women entrepreneurs is higher in those countries where the general income per capita is low and where women have no other option for making a living (such as Angola, Bolivia and Peru), yet it is lower in countries where the general income per capita is high (such as Israel, Germany and the UK).

Globally, the number of women business owners is gradually increasing, and it has been estimated that firms which are run and owned by women account for between 25% and 33% of all businesses. Tominc and Rebernik (2003: 781) suggest that apart from generating an important amount of GDP, women are also influencing how the business community, the general public, officials and the media see and respond to them. It is obvious that women's economic activity is bringing about change in developing as well as developed countries (McClelland et al., 2005).

The OECD (2004) report emphasises that women's entrepreneurship needs to be studied separately for two main reasons. Firstly, women's entrepreneurship has been recognised during the last decade as an important untapped source of economic growth. Secondly, the topic of women's entrepreneurship has been largely neglected by both society in general and the social sciences. Not only have women lower participation rates in entrepreneurship than men but also they generally choose to start and manage firms in different industries to those chosen by men. The industries (primarily retail, education and other service industries) chosen by women are often perceived as being less important to economic development and growth than the high technology and

manufacturing sectors typically chosen by men. Better qualitative data and statistics relating to demographics and barriers to start-up and growth are required to more accurately profile women entrepreneurs. A comprehensive study of women's entrepreneurial activities would also assist in promoting awareness of the role of women entrepreneurs in the economy (OECD, 2004).

2.2 Challenges facing women entrepreneurs

A number of factors have been known to influence women entrepreneurs. In a study of Black, Asian and Minority Ethnic (BAME) business owners (women and men), and the different barriers they experience, Fielden and Davidson (2012) reported that the degree of discrimination experienced was as a result of gender, ethnic background or an intersection between the two. This was attributed to a number of factors, including stereotypical difficulties in accessing different types of formal social support, e.g. formal business and financial support. Informal support by respondents' families was reported as a key source of both emotional and instrumental support. Jamali's study (2009) found that lack of access to capital and financial support, or under-capitalization was among the key barriers reported by most women entrepreneurs. Mordi et al. (2010) found that female entrepreneurs in Nigeria - although generally confident and resourceful, and enjoying the challenge of entrepreneurial activity - still experienced difficulties relating to family commitments and access to finance, as well as problems gaining acceptance and accessing networks.

Marlow and Patton (2005) argued that gaining access to appropriate levels of finance is a challenge for many business owners. However, evidence from their study indicated that women experience additional disadvantages, which are associated with gender ascription (Carter, 2000; Marlow, 2002). Such

disadvantage is articulated in a differentiated fashion within the sphere of women's socioeconomic activity; with regard to entrepreneurship it is argued that such subordination limits the accrual of social, cultural, human and financial capital and, as a consequence, limits women's abilities to amass personal savings, generate credit histories that are sufficiently attractive to formal lenders, or engage the interest of venture capitalists (Carter & Kolvereid, 1997; Carter & Rosa, 1998; Greene et al., 2000).

A study by Halkias et al. (2011) on the challenges facing women entrepreneurs in Nigeria found that female entrepreneurship in Nigeria is driven by micro-financing as well as family dynamics that work to shape and influence the start up of a business. The study also noted that most women go into business to be financially better off, and that fewer women see the financing of their business as a problem – possibly because women tend to start business ventures which are more modest in nature. The major challenges of entrepreneurship were identified by men and women as fierce competition (29%), the prevailing negative international outlook (25%) and cash flow (18%)(Borg, 2013).

2.3 Implications for Botswana women entrepreneurs in informal cross-border trade (ICBT)

Women in Botswana have little or no access to credit. This explains why women entrepreneurs in Botswana mostly engage in informal cross-border trade (ICBT), which requires very little start-up capital, and, in most cases, no registration or licencing (Okurut and Ama, 2012; Lesser and Moisé-Leeman, 2009). Additionally, ICBT requires no access to preferential tariff agreements, and the entrepreneurs involved may buy, or more often sell, in informal market sectors (Alusala, 2010; Njikam and Tcshouassi, 2011; Lesser and Moisé-Leeman, 2009; UBOS, 2009, 2011; Ama and Mangadi, 2013; van Klaveren et al 2009; Alusala, 2010). This type of

entrepreneurial activity is an important cash-earning endeavour. ICBT provides 60% of non agricultural self employment to women in sub-Saharan Africa, with women constituting the largest proportion of informal traders representing between 70%-80% in Southern and West Africa (Masheti, 2009; UNIFEM, 2008). It offers substantial employment and income opportunities to women entrepreneurs (Jackson, 1996; Cagatay & Ozler, 1995; Chen et al., 2006).

3.0 Methodology

A survey of women entrepreneurs participating in informal cross border trade (ICBT) across four border posts, namely Tlokweng (Botswana/South Africa), Kazungula (Botswana/Zimbabwe), Ngoma (Botswana/Namibia) and Kazungula (Botswana/Zambia) in Botswana between January and June 2013 was conducted. Both systematic sampling and snowball techniques were used to identify the women respondents (Snijders, 1992).

3.1 Data collection

Three data collection tools were used in the study, namely, a questionnaire, documentary analyses and an interview guide for the focus group discussions and key informant interviews (Masinjila, 2009; Lwanga and Falk, n.d.).

Research assistants who had been trained in questionnaire administration and the ethics of conducting surveys explained the purpose of the study, assuring participants of the confidentiality of the information provided. They also informed them that there was no monetary compensation for participating. Questionnaires were administered to the women who agreed to participate after signing a consent form. At the end of the study a total of 319 women entrepreneurs were interviewed. Two focus group discussions were conducted in each Border post as well as key informant interviews.

However, this paper is based on the findings from the 319 interviews of the women entrepreneurs. Comprehensive qualitative results from the study will be discussed in another paper to be published later.

3.2 Data capture and analyses

Collected data were coded and captured using the Statistical Packages for Social Sciences (SPSS) Computer Programme. The data were analysed using descriptive (mean, standard deviation, correlation coefficient, percentages) and inferential statistics (correlation analysis, t-tests). A multiple regression model was fitted to determine how socioeconomic variables (age, education, marital status, income, access to credit, location, type of business) influenced the returns from the women's entrepreneurial activities.

3.3 Limitations of the study

The study's limitations included the participants' fear that the research assistants were agents of the income tax department disguised as researchers, and that the collected information could be passed on to government authorities for the purpose of taxation. It was impossible to fully evaluate the influence of such sentiments on the responses collected. However, "anonymity" was the best strategy for obtaining the information. Participants were assured both in the consent form and orally that the information provided would not be divulged to any other source, and that the questionnaire did not contain any personal information, which could be used to identify respondents. Notwithstanding these limitations, the study design was appropriate for the purpose of the research. The instrument was adequate, as can be seen from the high values of the Cronbach's alpha coefficient (0.90).

4.0 Findings

4.1 Demographic characteristics of the women ICB Traders

Table 1 shows the demographic characteristics of the women entrepreneurs who participated in the study. The table reveals that 67% of the women had Secondary School Certificate/Diploma level education or below. In fact one out of every three women was educated to at least Junior Secondary Certificate level. Just over a third of the women were aged 30 years or less, while 31% were between 31 and 35 years of age. The majority of the women (41%) were unemployed, while 38% were self-employed. The majority of the women in our study were also single (44%), while around one third (34%) were married. Nearly three out of every four women (74%) had participated in ICBT for between one and five years.

Table 1: Demographic characteristics of the women ICB Traders (N=319)

Demographic characteristics		Frequency	Percent
Highest educational qualification	No schooling	12	3.8
	Primary Certificate	29	9.1
	Junior certificate of education (JCE)	67	21.0
	Secondary school certificate (GCSE, IGCSE, O'Level)/ Diploma	105	32.9
	University Degree	62	19.4
	Professional Certificate	44	13.8
Age of women	18-21	13	4.1
	22-25	41	12.9
	26-30	59	18.5
	31-35	99	31.0
	36-40	67	21.0
	41-45	19	6.0
	46 and above	21	6.6
Employment status	Employed in the public sector	37	11.6
	Employed in the private sector	31	9.7
	Self-employed	121	37.9
	Unemployed	130	40.8
Marital status	Single (never married)	140	43.9
	Married	108	33.9
	Divorced	23	7.2
	Widowed	16	5.0
	Cohabiting	32	10.0
Number of years on	1-5	237	74.3

ICBT	6-10	71	22.3
	11-15	11	3.4

4.2 Reasons for engaging in ICBT and the main commodities traded

Our study revealed that Botswana women engage in ICBT because they see it as a source of income for themselves and their families (49%), and they perceive it as a form of business/employment (27%). The women traded mostly in agricultural products (39%), industrial goods (26%), services (11%) and textiles (11%). For the majority of the women (64%), ICBT was their main source of income for their family, while another 15% indicated that their spousal formal employment was their main source of income (Table 2)

A key informant from the Ministry of Trade had this to say about the business, 'It is a convenient and easy way of making profits, it is a way of keeping the unemployed occupied with something that can maintain their lives, It should be encouraged, it picks the country's economy and makes a lot of individuals out there independent'.

Table 2: Reasons for participating in trade, main commodity traded, and source of income for family

		Frequency	Per cent
Main reason for engaging in Informal Cross-border Trade	Source of income	155	48.6
	Form of business/employment	87	27.3
	Food security	12	3.8
	Demand for foreign goods	13	4.1
	To share ideas	5	1.6
	Poverty	18	5.6
	To educate children and relatives	5	1.6
	I like ICBT	24	7.5
Main commodity traded	Mining	1	0.3
	Agricultural products and inputs	124	38.9
	Industrial goods	82	25.7
	Services	34	10.7
	Forestry resources	12	3.8

	Textiles	34	10.7
	Cosmetics and body products	21	6.6
	Leather shoes	7	2.2
	Tupper ware products	2	0.6
	Hair products	2	0.6
Main source of income for the family	ICBT	203	63.6
	Spouse formal employment y)	48	15.0
	Spouse informal employment	13	4.1
	Farming	28	8.8
	My own employment	16	5.0
	Other businesses	3	0.9
	My allowance from school	3	0.9
	Guardian salary	5	1.6
	Total	319	100

The women imported mainly clothes (47%), shoes (28%), bags (29%), beans (17%), cooking oil (14%), potatoes (14%), bananas (14%) and sauce pans (12%). However their major exported goods were: beans (26%), shoes (25%), maize grains (25%), clothes (21%), sandals (13%) and aggro vet drugs (12%) (Table 3)

Table 3: Major imports and exports by the women entrepreneurs

Major exports		Major imports	
Beans	25.8%	Clothes	46.8%
Shoes	24.5%	Bags	28.5%
Maize Grains	24.5%	Shoes	28.2%
Clothes	20.8%	Beans	16.7%
Sandals	12.6%	Cooking Oil	14.1%
Aggro Vet Drugs	11.9%	Bananas	13.8%
Maize Flour	10.1%	Potatoes	13.8%
Bed Sheets	8.8%	Saucepans	11.9%
Human Medicine	8.2%	Soap	10.9%
Fish	7.5%	Coffee	9.6%
Beer	7.5%	Rice	9.30%

4.3 Source of income, marketing challenges and benefits to family

The women were interviewed to determine the main source of capital for their business, the problems they encountered in marketing their goods, decision making issues concerning the business and the main benefits of the trade to both themselves and their families. The findings are summarised in Table 4. The table reveals that profit from the business (61%) and personal savings (29%) were the main sources of capital for the operation and expansion of the business. Long delays in payment by the clients that buy from the women (38%), high taxes charged at the point of entry (28%), and losses due to damaged products or stolen goods were the top three marketing challenges (17%). Women as owners of the business (79%) and sometimes head of the household (18%) made the major decisions related to running the business and use of the income. The main benefits the women derived included the fact that it was an easy way of making profit (38%), the business could be started and run with minimal income (22%), and it was a source of entrepreneurial development for them (20%).

Table 4: Source of income, marketing challenges, benefits to family and decision-making

Variables	Responses	Frequency	Percent
Main source of capital for the expansion and current operation of the ICBT	Own savings	93	29.2
	Profits from the business	194	60.8
	Trade credits	16	5
	Micro lenders	11	3.4
	Relatives and friends	5	1.6
The main problem encountered in marketing the goods	High taxes	89	27.9
	High default rates in payment by debtors/customers	43	13.5
	Long delays in payment	121	37.9
	Losses due to damaged or stolen goods	55	17.2
	Sales are very slow	2	0.6
	No problem	3	0.9
	Tough competition	2	0.6
	Transport	4	1.3
Who makes the major decisions on how to conduct the ICBT and use the income?	Business owner	251	78.7
	Head of household	57	17.9
	Spouse	10	3.1

	Other relatives	1	0.3
The main benefits of ICBT	Entrepreneurship development	65	20.4
	Empowerment through freedom of movement	26	8.2
	Exposure to different socioeconomic environments	39	12.2
	Easy way of making profits in business	118	37.0
	I can start the business with minimal income	70	21.9
	Any other	1	0.3
	Total	319	100

The analysis in Figure 1 shows that there has been improvement in the living conditions of the family (43%), improvement in the family's nutritional status (33%) and in the health-seeking behaviour of the households (14%). However, there has also been a negative impact on the family. For example, the findings show that the long periods away from home on business trips have resulted in increased workload for both the spouse and relatives caring for the children (4.9%). In some cases this has resulted in the break-up of the family (2.4%), and in household responsibilities being neglected (3.9%). One of the women participants at the focus group discussion had this to say, 'Lack of recognition makes business difficult for us. We receive substandard service at the border because we are not registered businesses. There are no regulations, if they are we do not know them, for our trade so official take advantage of our lack of knowledge'.

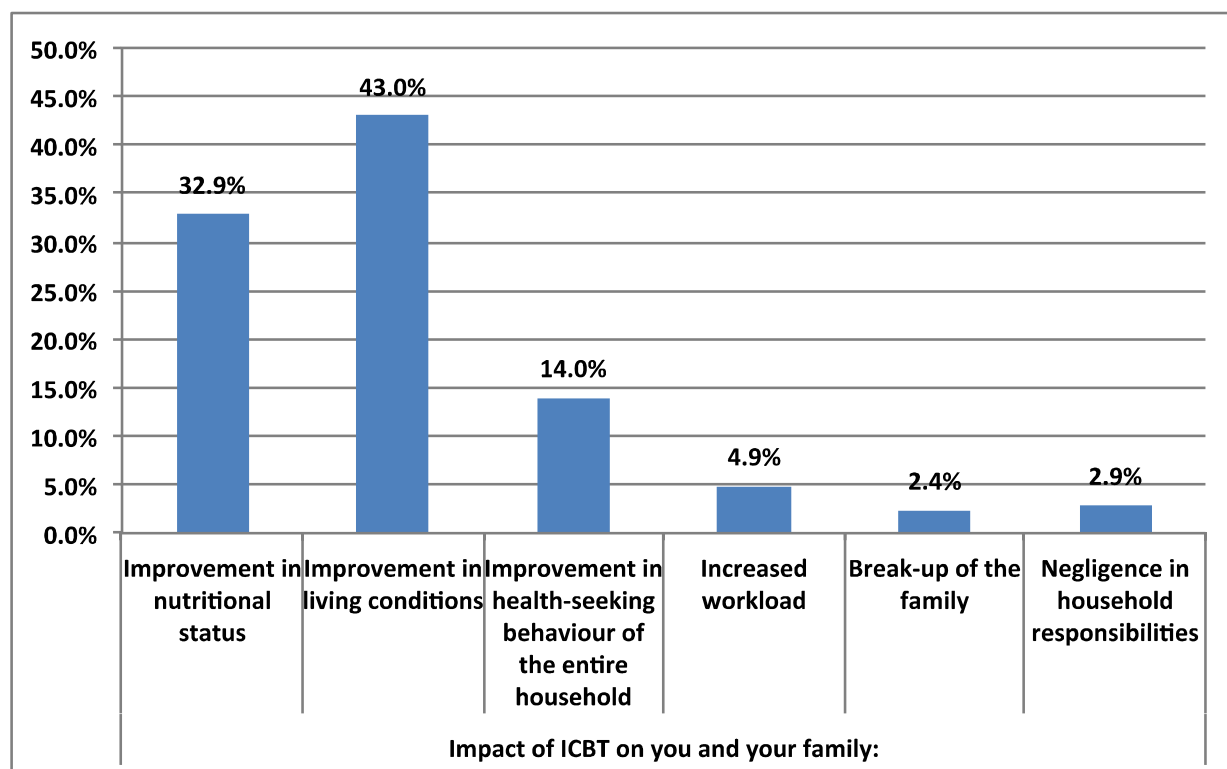


Figure 1: Impact of business on the women traders and their families

The women's mean monthly income from the businesses was P5,916.77± 409.86 (equivalent to US \$ 696.09±48.22), which is over ten times the minimum wage of workers in Botswana. About 80% of the women entrepreneurs started their business with between P1,000.00 and P9,999.00 (between US \$ 118.00 and 1,176.00), while 15% of them started with less than P1, 000.00 (US\$ 118.00).

A substantial percentage of the women (66%) made a profit of between P1, 000.00 and P5, 999.00 (between US\$ 118.00 and 706.00), whereas the profit made by 21% of the women was between P6, 000.00 and P1, 0999.00 (US\$ 706.00 and 1294.00) (Figure 2).

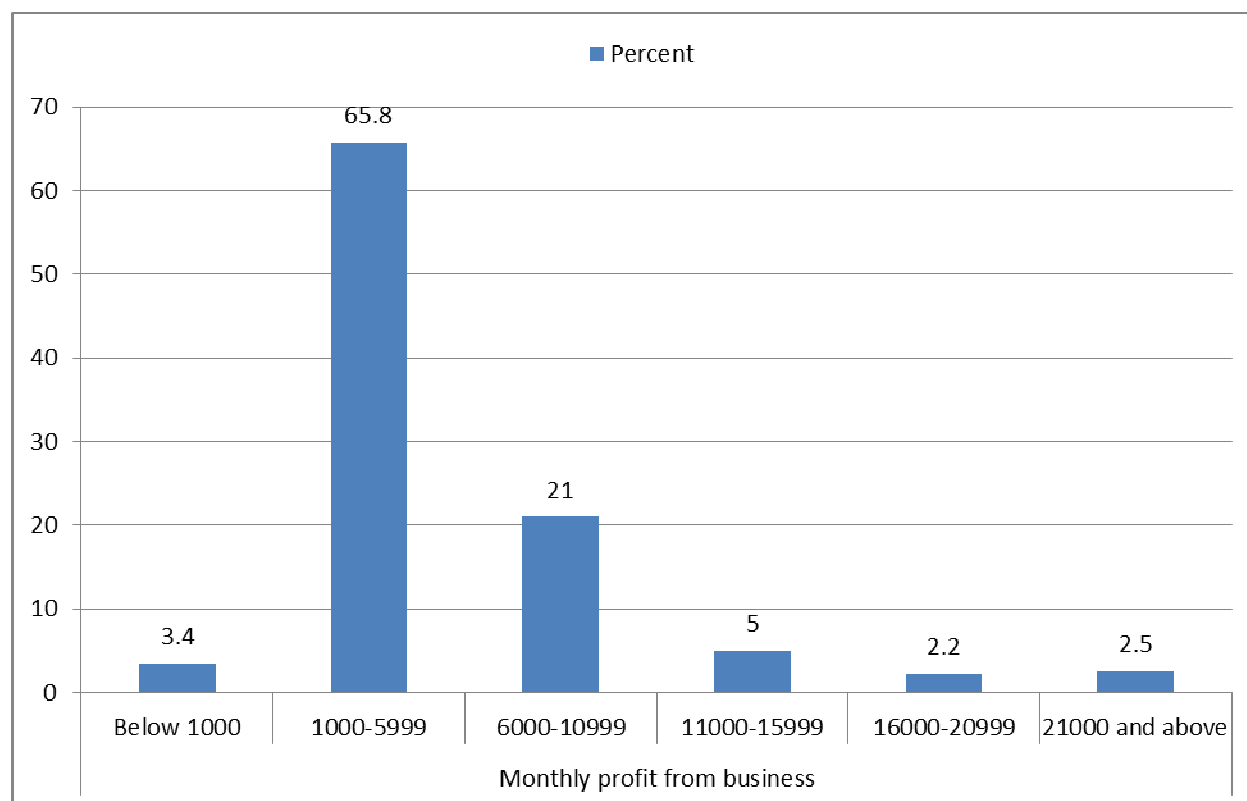


Figure 2: Monthly profit made by the women from their businesses

4.4 Profitability of ICBT

This section attempts to quantify the profitability of the business. The women were asked to state how many trips they make in a year for their business, the average costs on exported and imported goods during each trip and the average revenue that accrues to the business. On the basis of this information, the yearly values were estimated; these are shown in Table 4. The table shows that the women in ICBT make an average of 21 trips a year, generating a mean monthly profit of US \$ (696.1 $\pm$ 48.2). The total cost of imported goods (US\$ 2,642,788.2) is over three times that of exported goods (US\$ 858,682.4). This shows that the women invest more in imports than exports. Consequently, the total

annual revenues from imported goods (US \$ 6,525,941.2) greatly exceeds that from exported goods (US \$ 1,802,847.1) (Table 5)

To appreciate the profitability of ICBT, the gross profit margins of the trade are computed as:

$$\text{Gross profit margin} = \frac{\text{Revenue} - \text{Cost of goods}}{\text{Revenue}} \times 100 = \frac{8328788.2 - 3501470.6}{8328788.2} = 57.96\%$$

$$\text{Gross profit margin on imports only} = \frac{6525941.2 - 2642788.2}{6525941.2} = 59.5\%$$

$$\text{Gross profit margin on exports only} = \frac{1802847.1 - 858682.4}{1802847.1} = 52.37\%$$

These results reveal that ICBT as a business enterprise for the women is very profitable. For example, for every dollar invested in the business, about 58 cents is available for other service costs and obligations that the traders might have. Furthermore, importing is more profitable than exporting. This is not unexpected, as Botswana is not an industrialized nation, and a substantial portion of exports is merely re-exports. This is confirmed by Ama and Mangadi (2013) who have shown that 45.2% of the goods traded by the women are actually re-exports. A woman entrepreneur stated during the focus group discussion that 'it is a form of employment since we have employed ourselves and some have even employed other people. So in my view any activity that creates employment should be encouraged'. Another woman participant indicated, 'it should be encouraged because it provides the country with goods that are in short supply local; most of these goods are a necessity',

Table 5: Revenues generated by the women from ICBT

Activities	N	Sum (US \$)	Mean (US \$)	Std. Error
Number of trips (annually)	319	6717	21.1	1.2
Total cost of exported goods (annually)	145	858682.4	5921.9	613.9
Total cost of imported goods (annually)	316	2642788.2	8363.3	658.2
Total sales value of exported goods (annually)	145	1802847.1	12433.4	1419.4
Total sales value of imported goods (annually)	312	6525941.2	20916.5	2237.0
Profit (Pula) generated from ICBT (monthly)	319	222052.9	696.1	48.2

4.5 Factors influencing profit levels

In order to determine how some socioeconomic variables influence the profit generated from the women's various entrepreneurship activities, a multiple regression model was fitted to the data, with profits generated from the businesses constituting the dependent variable, and initial start-up capital, marital status, age, employment status, number of years in the business and location of the business constituting the independent variables. Table 6a summarises the results of the analysis showing that the fitted model is good (that is, the independent variables jointly significantly predict the profit generated from the business, $p < 0.01$). Table 6b reveals that, at the 1% level of significance, only the start-up capital ($t = 20.741$) and number of years in the business ($t = 2.914$) significantly predict the amount of profit that can be generated from the businesses ($p < 0.01$). In addition, the table also shows that start-up capital, number of years in the business, being divorced, employed in the private sector and location of the business are positively correlated with profit generated from the businesses ($B > 0$).

Table 6a: Analysis of variance table for testing the significance of variables that influence profit generated from the businesses

Model	Sum of Squares	Df	Mean Square	F	Sig.
1 Regression	10920719942.797	12	910059995.233	46.907	0.000*
Residual	9836522111.001	507	19401424.282		

Total	20757242053.798	519			
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Dependent variable: Profit generated from business

Table 6b: Regression analysis model of factors that influence profit generated from the business

Variables in the model	Unstandardized Coefficients		t	Sig.
	B	Std. Error		
(Constant)	-9217.244	1051.69	-8.764	0.000*
The initial start-up capital (Pula) for the ICBT	6275.445	302.564	20.741	0.000*
Married	765.269	510.942	1.498	0.135
Divorced	1357.008	804.593	1.687	0.092**
Widowed	-668.4	1188.898	-0.562	0.574
Cohabiting	933.01	599.123	1.557	0.120
Employed in public sector	-723.491	666.008	-1.086	0.278
Employed in private sector	1141.679	638.954	1.787	0.075**
Unemployed	-388.984	466.078	-0.835	0.404
Number of years on ICBT	-629.158	804.13	-0.782	0.434
Age of respondent (in completed years)	155.627	169.077	0.92	0.358
Location of study	312.366	186.14	1.678	0.094**
Number of years you have been involved in informal cross-border trade	414.31	142.2	2.914	0.004*

*Significant at 1%; ** significant at 10%; Dependent variable: Profit generated from business

5.0 Discussion

This study aimed to determine: (i) the nature of the entrepreneurial activities, funding sources and profitability of Botswana women engaged in ICBT, (ii) how these businesses helped enhance their economic empowerment (iii), the factors that influence the participation of women in ICBT and the challenges they encounter.

The findings from the study reveal that the women entrepreneurs had very little education, were young (i.e. under 30 years of age) and mainly single. The low level of education is likely to hamper their ability to learn and understand the skills necessary to improve their entrepreneurial abilities. Studies by Joubert (2004), Hamilton and Rivera (2003) support this point. For example, in his study of women SME owners in the informal sector of Uganda, Ikoja-Odongo (2002) found that 25% of the women had never been to school, and only 25.5% had completed secondary school education; 34% of our study sample had either never been to school or completed junior certificate of education. Studies by several other scholars (Boden & Nucci, 2000; Chiloane & Mayhew, 2010; Van Scheers & Radipere, 2007) also found that the lack of literacy and business knowledge affected the owners "ability to access critical information". In their study of the South Africa informal sector, Jiyane and Mostert (2008) identified the low educational levels of women SME owners as a reason for them being unable to access and understand business information sufficiently. The fact that one in every three women traders in our study sample was under 30 years of age could have accounted for the low level of education since this age represent the school age for most people. Consequently, these women lacked credibility and were unable to access government loan facilities through the Citizenship Entrepreneurial Development Agency (CEDA) without collateral. These are young people who have just finished school and who have no formal entrepreneurial skills. Applications for capital from these young entrepreneurs are often turned down because of their lack of business experience (Jiyane and Mostert, 2008).

Our study also reveals that profit from the business and personal savings were the main sources of capital for business operation and expansion. Start-up capital was mainly raised through family members and friends. The lack of access to start-up capital and finance presented another barrier to business expansion. Joubert (2004), and Hamilton and Rivera (2003) describe these as

some of the difficulties women SME owners encounter in their business. The impact of the lack of access to finance by women ICBT entrepreneurs is also highlighted in a four-year study of SME owners in El Salvador, Nicaragua and Guatemala (Klinger & Schündeln, 2010). Onyishi and Agbo (2010) cited the absence of access to credit and capital as reasons why women do not engage in entrepreneurship. It is also recognised that women are loath to ask for financing because they are reluctant to take responsibility for money that does not belong to them (Kaufman, 2007). However, notwithstanding these difficulties, the women in this study were able to generate profits from their businesses, and these have improved the living conditions of their families; enhanced their family's nutritional status and boosted the health-seeking behaviour of their households. The gross profit margin from the businesses was also high. This finding is also supported by evidence from researchers such as McClelland et al. (2005) who stated that the economic activity of women is bringing about change in developing, as well as empowering women to make major decisions in their families. In the focus group discussions a woman participant had this to say, 'I have always had the desire to own and run my own business and when I tried to start I came to realise that the registration of a company and trade licenses is a very long, expensive and tedious process. I did not have the money to go through the whole process so I opted to go into the informal sector as there are no complicated registration processes'.

High taxes, high default rates in payment by debtors or customers, long delays in payment by customers and losses due to damaged or stolen goods were some of the problems experienced by the women entrepreneurs in this study. These taxes might, however, be internal taxes. The internal/domestic taxes (specific for each country within the region) such as VAT are still applicable and are usually not regulated by the Customs Union (East African Community, 2011). High taxation has an indirect effect on the sales prices of goods, and reduces the probability of the quick disposal of goods to the detriment of the entrepreneurs.

The extra costs are borne by the consumers/customers. In addition to the impact of the higher taxes, the high default rates or delayed payment by customers result in the returns to investment being significantly reduced; the profit margins remain small leaving limited funds for reinvestment, and the women tend to remain poor (Njikam and Tchouassi, 2011). The results of the study also revealed that the women traded mainly in Agricultural products and inputs. Some of these goods are perishable and therefore demand fast transportation between countries. This also explains why delay at the borders constituted one of the major problems for the women traders.

Interestingly, security was of least concern to the women traders. The International Organisation for Migration, Zimbabwe (2011) noted that since the women travel long hours and spend time away from family, with increasing risk of violence and intimidation, the risk rape as well as coercive or transactional sex, and as a consequence, an increased risk of HIV transmission, unwanted pregnancies and contracting sexually-transmitted diseases (STDs.)

The study identified initial start-up capital and years in the business as being both positively correlated and significant predictors of the profit realized from the businesses. The study also revealed that many women traders do not have access to credit from financial institutions and rely mostly on relatives and friends (UNIFEM, 2008; Njikam and Tcshoussai, 2011) for their start-up capital. In such cases, the amount of initial capital that is likely to be raised is very limited and profits generated from the businesses tend to be small.

Conclusions

Based on the findings from our study, we can conclude that informal cross-border trade (ICBT), as an entrepreneurial venture, is profitable, notwithstanding the challenges faced by the women and discussed above. The women who engaged in ICBT were able to generate substantial incomes and profits that enabled them to improve the livelihood of their families and empower them to make major decisions in their families.

The study calls for urgent measures to assist women ICBT entrepreneurs in raising initial and sufficient capital for their businesses. Bottlenecks such as business registration, collateral and having a business location, which impedes the acquisition of financial loans, need to be reviewed. Government needs to design policies and strategies that will positively enhance the accessibility of financial credit to the women entrepreneurs to help improve their businesses.

Areas for further research

Our study covered four of the 21 borders in Botswana. Future studies could use the findings from this study to expand the geographical coverage to include all 21 borders. This will help in estimating the real impact of these types of entrepreneurial ventures on the Botswana economy. More importantly, future studies should be conducted over a one-year period and at quarterly intervals in order to capture all the businesses and measure quarterly returns.

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